SESSION 1: ETHICAL ISSUES IN FINANCIAL REPORTING

Objectives

By the end of this session, students should be able to:

a) Explain the concept of ethics and professional ethics in accounting.
b) Identify key ethical principles guiding accountants.
c) Recognise common ethical issues encountered in financial reporting.
d) Apply ethical decision-making frameworks to accounting dilemmas.
e) Evaluate the consequences of unethical financial reporting.

Introduction

Accounting professionals frequently encounter ethical dilemmas that require careful consideration and adherence to professional codes of conduct. Ethics is concerned with behaviour and trying to ensure that professionals do the right thing. Ethics is broad and with no universal consensus. In a general sense however, ethics is defined as *the systematic study of conduct based on moral principles, reflective choices, and standards of right and wrong conduct* (Wheelwright, 1959). It is about right and wrong and how conduct should be judged as good or bad (behaviour towards other people). It may relate to a business at different levels, that is macro, organisational and at individual levels. Accounting professionals are expected to act in the public interest by adhering to ethical standards.

Fundamental ethical principles are obligations placed on members of a profession, and in this case accountancy profession to ensure they act in the interest of the public. They are codes of moral principles followed by people with respect to what is wrong or right which are not necessarily enforced by law, though the law incorporates moral judgement.

Typically, therefore, ethics is about guidance, relying on the professionalism of professionals to apply this guidance in an appropriate manner when faced with difficult situations. Thus, it serves a conceptual framework – applying fundamental principles to each specific situation that arises, rather than following a list of rules.

Importance of Ethical Conduct in Financial Reporting

Ethical conduct is fundamental to the preparation and presentation of reliable financial information. Financial reporting provides critical information used by investors, creditors, regulators, and other stakeholders to make economic decisions. When

accountants adhere to ethical principles, financial statements reflect the true financial position and performance of an organisation.

The importance of ethical conduct in financial reporting can be explained in several ways.

Enhancing reliability and credibility of financial information
Ethical behaviour ensures that financial statements are prepared honestly and accurately. When accountants follow ethical standards, users of financial statements can rely on the information provided. This reliability increases the credibility of financial reports and strengthens trust between organisations and stakeholders.

Maintaining investor confidence
Investors depend on financial reports to evaluate the profitability, financial stability, and future prospects of businesses. Ethical conduct ensures that financial information is not manipulated or misleading. When investors trust the integrity of financial reporting, they are more willing to invest in businesses and financial markets.

Supporting sound economic decision-making
Financial statements guide important decisions such as investment, lending, taxation, and policy-making. Ethical reporting ensures that these decisions are based on accurate and complete information. Without ethical conduct, decisions may be made on distorted financial data, which could lead to poor economic outcomes.

Preventing fraud and financial misrepresentation
Unethical behaviour in accounting can lead to fraud, earnings manipulation, and misrepresentation of financial performance. Ethical standards encourage accountants to resist pressures to falsify financial information and to report irregularities when they occur. This helps reduce financial scandals and protects stakeholders from financial losses.

Promoting transparency and accountability
Ethical financial reporting promotes transparency by ensuring that all relevant information is disclosed clearly and honestly. Transparency allows stakeholders to understand the financial activities and performance of an organisation. It also holds management accountable for their actions and decisions.

Upholding professional reputation
Professional accountants are expected to follow ethical principles established by professional bodies such as the International Federation of Accountants. Adherence to these principles helps maintain the reputation and integrity of the accounting profession. When accountants act ethically, public confidence in the profession is strengthened.

Ensuring compliance with laws and accounting standards

Ethical conduct ensures compliance with accounting standards issued by bodies such as the International Accounting Standards Board and relevant regulatory requirements. Compliance helps maintain consistency and comparability in financial reporting across organisations and countries.

Preventing corporate failures
Many corporate collapses have been linked to unethical accounting practices and manipulation of financial statements. Ethical financial reporting helps prevent such failures by ensuring that financial problems are disclosed early and addressed appropriately.

Supporting good corporate governance
Ethical conduct in financial reporting supports effective corporate governance by promoting responsible management and oversight. Boards of directors and audit committees rely on ethical financial reporting to monitor organisational performance and protect stakeholder interests.

Ethical Decision-Making Models
There are several ethical decision-making models in accounting that accounting professionals can rely on when faced with ethical dilemma. Some of these are

- The rational ethical decision-making model
- The American Accounting Association (AAA) model.
- The professional code-based model.
- The Unitarian models.
- The rights-based model.

In this unit we focus on the use of the professional code-based model. This model focuses on applying ethical principles contained in professional codes issued by organisations such as the International Federation of Accountants. Accountants assess ethical dilemmas by considering:

- Compliance with professional ethical principles
- Threats to independence or objectivity
- Safeguards that can eliminate or reduce ethical threats

The decision must align with professional ethical codes and regulatory standards.

Fundamental Ethical Principles

Accounting professionals all over the world are guided by fundamental ethical principles that ensure their decisions are for the public interest. Every profession has a set of Code of Conduct.
An International Code of Ethics has been developed by IFAC, in the hope of providing countries with a starting point for developing their own Codes – and to try to create some consistency in guidance around the World. The ethical standards are as follows:

- **Integrity**: The need to be honest and straightforward in all professional and business relationships. Having a set of principles, such as honesty, and sticking to them consistently, thus becoming a person who is reliable and trustworthy and acting in a straightforward manner.
- **Objectivity**: The need to be objective in judgement and not allow bias, conflict of interest and undue influence of others to override professional or business judgement.
- **Professional Competence and Due Care:** The continuing duty to maintain professional knowledge and skills at a level required to ensure that a client or employer receives the advantage of competent professional service based on current developments in practise, legislation and techniques. Accounting Professionals should act diligently. and in accordance with applicable technical and professional standards when providing professional services. They must ensure all relevant professional standards are followed, in all professional work undertaken, as well as ensuring enough time is taken to get work done to a suitably high standard.
- **Confidentiality**: Respect the privacy of information obtained as a result of professional or business relationships, or whilst working with clients and must not disclose it to third parties without proper and specific authority, unless there is a legal or professional obligation to do so. Confidential information acquired as a result of professional and business relationships should not be used for the personal advantage of the professional accountants or third parties.
- **Professional behaviour**: Should comply with, and respect, relevant laws and regulations and not do anything that could discredit the accountancy profession.

These principles serve as ethical framework to provide guidance to professionals in the event of facing ethical dilemma rather than ethical rules.

Threats to the Fundamental Principles

- **Self-interest:** financial or other interest that may inappropriately influence the accountant's judgement. The threat of acting in one's own personal interests (or are believed to be doing so). Examples include owning shares in client business, receiving excessive gifts or hospitality from clients, receiving excessive fees from a single client, having personal or business relationships with clients, professional fees that are calculated in a way that might encourage unethical behaviour.

- **Self-review:** may not appropriately evaluate the results of previous judgement made or activity or service performed by others within their firm. The threat that if certain tasks are performed for clients, it may result in checking their own work. Examples: giving advice on accounting or control systems, then auditing them, preparing the accounting information, then auditing it, helping with calculations of numbers in the Financial Statements, then auditing them.

- **Advocacy:** -the threat of promoting a client/employer interest to the point that objectivity is compromised. The threat caused when auditors are asked to do other work that means they are taking their client's position on something. By taking this position, they may be seen to be "on the client's side", rather than being independent. Examples include representing an audit client in a legal case or tax enquiry, taking legal action against a client, or being sued by a client, helping a client raise finance from investors, or from their bank.

- **Familiarity**-long or close relationship with client/employer too sympathetic to their interests. The threat that if professionals are too familiar / friendly with a client, they might deliberately or accidentally put too much trust in their client and not be sceptical enough. Examples include working in companies where the professional's relatives or friends work, working with the same client for many years in a row, if a client is offering a lot of hospitality, this may be a clue that there is too close a relationship.

- **Intimidation**-may not act objectively due to actual or perceived pressure. The threat caused by a client being in a position to put pressure on a professional. Examples are the same as Self-Interest; the presumption is that the client is being a bully rather than the professional being nice to their client out of their own choice.

Recognising Ethical Dilemmas

An ethical dilemma typically arises when a decision-maker faces a situation where:

- There are conflicting ethical principles or values.
- Multiple courses of action are possible, each with ethical implications.
- Choosing one option means compromising on another ethical consideration.
- The "right" course of action is not immediately obvious.

Examples of ethical dilemmas:

- **Pressure to Manipulate Financials:** Management exerting pressure to inflate revenues, defer expenses, or understate liabilities to meet targets or influence share price.
- **Conflict of Interest:** An accountant having a personal financial stake in a transaction they are auditing or reporting on.
- **Confidentiality Breaches:** Sharing sensitive client or company information inappropriately.
- **Lack of Independence:** An auditor's objectivity being compromised by a close relationship with a client or significant reliance on their fees.
- **Greenwashing or Misleading ESG Disclosures:** Pressure to overstate sustainability performance or make unsubstantiated claims to improve public perception without genuine underlying actions.
- **Whistleblowing:** Discovering fraudulent or unethical activities within the organisation and deciding whether to report them internally or externally, balancing loyalty with public interest.

Recommend and Justify Appropriate Courses of Action

When faced with an ethical dilemma, accounting professionals should follow a structured approach, often guided by their professional body's code of ethics (e.g., the IESBA Code of Ethics for Professional Accountants).

Recommended Action (e.g., based on IESBA Code's Fundamental Principles):

1. **Identify the Facts:** Gather all relevant information about the situation.
2. **Identify the Ethical Issues:** Determine which ethical principles are at stake (e.g., integrity, objectivity, professional competence and due care, confidentiality, professional behavior).
3. **Identify Affected Parties/Stakeholders:** Consider all individuals or groups impacted by the decision (e.g., investors, employees, customers, suppliers, the public, the profession).
4. **Consider Alternative Courses of Action:** Brainstorm all possible responses to the dilemma.
5. **Evaluate Consequences:** Assess the potential positive and negative impacts of each alternative on all affected parties, considering short-term and long-term implications.
6. **Consult Relevant Guidance:** Refer to professional codes of ethics, company policies, and legal advice if necessary.

7. **Seek Counsel (if appropriate):** Discuss the dilemma with a trusted colleague, superior (if not involved in the dilemma), legal counsel, or professional body's ethics helpline. Maintain confidentiality where possible.
8. **Choose and Justify the Best Course of Action:** Select the option that best upholds ethical principles, minimises harm, and serves the public interest. Document the decision-making process.

Justification for actions taken

The justification for a chosen action should primarily refer to the fundamental principles of the professional code of ethics. For example:

- **Integrity:** Acting honestly and straightforwardly, even when difficult. Justifying resistance to pressure to manipulate figures because it violates integrity.
- **Objectivity:** Avoiding bias, conflict of interest, or undue influence of others. Justifying recusal from a decision due to a conflict of interest to maintain objectivity.
- **Professional Competence and Due Care:** Maintaining professional knowledge and skill, and acting diligently. Justifying seeking expert advice on a complex ESG measurement due to lack of personal expertise.
- **Confidentiality:** Respecting the confidentiality of information. Justifying not disclosing client information unless there is a legal or professional duty to do so.
- **Professional Behavior:** Complying with relevant laws and regulations and avoiding any action that discredits the profession. Justifying reporting a clear instance of fraud to authorities as it upholds the reputation of the accounting profession and legal compliance.

Consequences of Unethical Behaviour

Unethical financial reporting occurs when financial information is intentionally manipulated, misstated, or concealed. This behaviour can have serious consequences for organisations, investors, and the economy.

- Loss of Investor Confidence
- Financial Losses to Stakeholders
- Legal and Regulatory Penalties
- Damage to Corporate Reputation
- Corporate Failure and Business Collapse
- Loss of Professional Licenses
- Job Loss and Career Damage
- Negative Impact on the Economy